

PSIX pitch deck

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PITCH — PSIX — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION)

PROPOSED — PENDING ADJUDICATION: NO ENTRY. Stay flat with no resting orders; the analysis survives but the buy plan was rejected by both benches (prosecution conviction 7/10, defense concurrence 8/10). Re-open only on the evidence gates below.

What we believe

Power Solutions International makes engines and power systems, including generators for data centers. The stock has fallen 66% from its high of \$119.70 to \$40.82, though it has already bounced 61% off its low of \$25.28.

Two separate questions decide this name, and they got opposite answers in court:

The profitability question — the bears were wrong. The bear case said margins would collapse as the company ramped its new Wisconsin plant. The opposite happened: second-quarter gross margin printed 27.1%, *above* the company's own 25% long-term target, and it did so while ramp costs were still elevated. That leg of the bear case is refuted by the company's own primary numbers.

The revenue question — the company's own guidance is a stretch, dressed up as a modest one. Management guided second-half 2026 revenue to roughly \$395 million, described as "approximately in line with" the second half of 2025. That framing hides what it actually demands. The second half of 2025 was the best two quarters in the company's history — Q3 2025 revenue grew 62% year-over-year and Q4 grew 33% (source: the company's own Q3 2025 earnings release, <https://www.sec.gov/Archives/edgar/data/1137091/000162828025050205/psiearningsrelease-septemb.htm>). Meeting the guide means repeating that record surge, which requires a 29.5% jump from Q2 2026's \$152.5 million — while revenue is currently *declining* at an accelerating rate (down 5.1% year-over-year in Q1, down 20.5% in Q2). No company in this revenue series has gone from -20% year-over-year to +30% sequentially without a disclosed order book. The company says larger orders are "moving into production" but has put no number on them, its business depends heavily on one customer (referenced in the singular), and a new CEO starts August 17.

Bottom line: a real, profitable company whose bear case on margins is dead — but whose guided second half is an unverifiable inflection we cannot confirm through any public channel, sold to the market as a conservative anchor.

What the market believes

At \$40.82 the stock trades at 13.9× trailing earnings of \$2.94 per share. The market has already digested two things: the 66% crash priced in a bust of the data-center generator boom, and the sharp bounce since the August 6 earnings report paid the margin thesis back — the “margins hold” discovery is no longer a secret. The Weichai overhang (the Chinese parent owns 46% and sold shares in August 2025) and single-customer concentration are prominent in every public write-up of this name. What the market is effectively haggling over now is exactly the question we can’t answer: does the second half repeat the record, or not? At 13.9× trailing, the price roughly assumes the guide lands.

Why we might have edge

- **We did the comparison math the guidance language hides.** “In line with 2H-2025” sounds conservative; it is actually a demand to repeat a +62%/+33% record surge from a starting point 25% below it. Both benches verified the quarterly numbers independently to the dollar (\$203.8M + \$191.2M = \$395.0M — the guide matches exactly).
- **We caught the direction of travel.** The year-over-year decline is *accelerating into* the guided half. The guide needs an inflection, not a continuation.
- **The margin finding is stronger than even our original thesis claimed** — 27.1% gross margin above target *during* the expensive part of the ramp.
- **We corrected the record on the insider overhang.** Weichai’s last reported sales were August 2025 at average prices of \$83–91 — roughly double today’s price — and no 2026 sales have been filed. The overhang is real but not currently active, and the controlling shareholder last sold at ~2× the current price.
- **We found the cash-flow tell.** Six-month operating cash flow of \$75.7 million came mostly from working capital being released (inventory and receivables shrinking). A company about to grow revenue 30% sequentially builds working capital; it doesn’t release it. The strong cash flow and the guide landing are mutually exclusive — one of them is telling the truth about the second half.

Why it might be priced in

- Half the dislocation is already closed: the stock is up 61% from its low, and the post-earnings rally already rewarded the margin proof.
- If the guide *does* land, 13.9× trailing (13–14× forward) is not expensive — the market may already be discounting a partial miss.
- Our “zero backlog” framing was too strong: the earnings release says larger orders are “moving into production.” Orders exist; they’re just unquantified. (This was the defense bench’s correction of our own prosecution.)
- The known risks — single customer, Chinese parent, cyclicity — are in every published note on this name. We have no informational monopoly on the bear points, only on the comp arithmetic.
- If the second half misses, realistic forward earnings are about \$2.00–2.20 per share, which puts today’s price at roughly 19× a shrinking business — meaning the current price only works in the

guide-lands scenario, which is also the consensus scenario.

What we checked ourselves

Claim	How checked	Found	Confirmed?
2H-26 guide (~\$395M) is “in line with 2H-25” and therefore modest	Pulled Q3-25 and Q4-25 revenue from the company’s own releases (SEC 8-K + IR site); both benches re-derived independently	2H-25 was a record surge: +62% and +33% y/y, summing to \$395.0M exactly; guide = repeating the record from 25% below it	YES — the guide is aggressive, not modest
Stock is cheap at 13.9× trailing EPS of \$2.94	Rebuilt EPS quarter by quarter from releases	64% of trailing EPS came from the surge half now being lapped; on a guide miss, forward EPS ≈ \$2.00–2.20 → ~19×	YES — “cheap” only if the guide lands
Bear case: margins collapse on the Wisconsin ramp	Q2-26 release (https://www.globenewswire.com/2026/08/06/3340810/17954/en/power-solutions-international-announces-second-quarter-2026-financial-results.html)	Gross margin 27.1%, above the 25% target, covering elevated ramp costs	YES — bear margin leg refuted
Weichai (46% holder) “is selling” (our original thesis’s claim)	13D/A amendment history	Our own claim was a year stale: sales were Aug 2025 at \$83–91; no 2026 amendment exists. Prosecution bench self-reported the correction	CORRECTED — bench error, fixed
Wisconsin ramp has no physical confirmation (“confirmed absence”)	Customs shipment records + OSHA establishment queries	All queries returned empty — but the tools may be degraded. Prosecution over-graded this as “confirmed absence”; defense correctly downgraded it to “uncheckable.” The substantive point survives: no public proxy can verify the ramp either way	PARTIAL — bench grading error, corrected
The April 10-K/A signals a restatement or accounting problem	Read the amendment	Routine executive-pay/proxy amendment the company files most years; not a restatement. Prosecution reported this defense-favorable fact itself	YES — benign
“Zero disclosed backlog”	Q2-26 release language	Release says orders are “moving into production” — unquantified, but not literally zero. Defense softened our overstatement	PARTIAL — our framing was too strong
A resting buy order at \$33–35 is a good entry	Mechanism review by both benches	Prosecution argued the bid fills exactly when bad news arrives; defense reduced that to “plausible, unproven” — but killed the plan anyway under our standing rule (business risk gets a smaller size, never a price-only trigger)	Plan REJECTED
Strong cash flow proves quality	Q2-26 release: 6-mo operating cash flow \$75.7M vs. much smaller net income	Mostly working-capital release; incompatible with an imminent 30% sequential revenue ramp	YES — a tell against the guide

Claim	How checked	Found	Confirmed?
Customer concentration, backlog number, litigation, controls conclusion	Attempted to read the Q2 10-Q on SEC EDGAR	Blocked (403 error) both benches, both endpoints	NO — unread; open item

PROPOSED ENTRY BANDS

Both benches say no entry. No purchase at \$40.82 and — explicitly — **no resting limit orders** (the proposed \$33–35 ladder was struck down: a naked low bid on this name most plausibly fills on the very news that proves the bear case). Per the benches, these are the **reopen conditions**, derived from their own math:

Evidence-gated reopen (any one clears it — price near current levels then acceptable, because at ~\$41 the stock is 13–14× earnings *if the guide is verified*): 1. The Q2 10-Q (once readable) shows two or more customers above 10% of revenue, or a quantified backlog — breaking the single-customer premise. 2. Customs shipment data shows inbound component receipts accelerating June–September — physical confirmation of the ramp. 3. The company puts a number on second-half orders in an 8-K or press release. 4. A fresh 13D/A shows Weichai’s selling has definitively stopped.

Price-only reopen bands (from the benches’ guide-miss arithmetic): below ~\$31, the *miss-scenario* earnings (\$2.20) trade at 14×; below ~\$28, even the low end (\$2.00) trades at 14× — i.e., the bad outcome itself becomes the cheap one. Even at those levels, our doctrine requires checking *why* the price got there before buying — no automatic fill.

Sizing if reopened: starter size only, on the order of 1% of the book (our translation of the court’s business-risk-means-smaller-size rule; the benches set no explicit number — flagging that as a gap for the adjudicator).

Catalyst dates: August 17, 2026 — new CEO starts (per the court record). November 5, 2026 — Q3 earnings, the first real test of the guide; **this date is derived from a data vendor and is not company-confirmed**. The decisive Q2 print already landed August 6.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 28.0 (deck-provisional: low-end miss EPS ~\$2.00 at 14x, near the \$25.28 52-week low)
- filing watch: 8-K until 2027-02-05 (deck-provisional: company quantifies 2H orders/backlog or changes guidance — the missing reopen evidence)
- dated pack PSIX|2026-11-05: PSIX: Q3-26 earnings — first test of the ~\$395M second-half guide (vendor-derived, unconfirmed) (date confirmed=False)
- dated pack PSIX|2026-08-17: PSIX: new CEO start date per court record (date confirmed=False)

What remains unverified

- **The Q2 10-Q is unread.** SEC blocked both benches. Customer-concentration percentages, any backlog/remaining-obligation figure, the litigation note, and the internal-controls conclusion are all unknown.
- **The size of the order book behind the guide.** The company says orders are “moving into production” but has never put a number on them. This is the single fact that would most change the verdict.
- **Whether Weichai has sold anything in 2026.** No amendment has been filed, which implies no material change — but absence of a filing is weaker evidence than a filing.
- **The Wisconsin ramp’s physical reality.** Customs and workplace-inspection queries returned nothing, and we cannot tell absence from tool degradation.
- **The November 5 earnings date** — vendor-derived, not company-confirmed.
- **Short interest** — last good reading (8.1% of float) is from October 2025, stale.

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